

2.2.3 Exchange rates	a) Definition of exchange rates. b) Factors affecting supply and demand of currencies: • interest rates • currency speculators • imports and exports of goods and services • supply and demand diagrams to show determination of exchange rates. c) Definition of appreciation: • definition of revaluation • impact of appreciation of exchange rate on: ◦ import and export prices ◦ demand for imports and exports ◦ current account on balance of payments. d) Definition of depreciation: • definition of devaluation • impact of depreciation of exchange rate on: ◦ import and export prices ◦ demand for imports and exports ◦ current account on balance of payments.
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